

M/s Smilan Agro Industries & 2 Others v. State of U.P. & 4 Others

Allahabad High Court · Division Bench · 21 August 2025 · 2025:AHC:144237-DB · Writ - C No. 31951 of 2023 · **Writ disposed of as infructuous and consigned to records; the recovery citation and the assessment were not decided**

HEADNOTE

M/s Smilan Agro Industries challenged a Tehsildar's recovery citation dated 17 June 2023, founded on the Executive Engineer's recovery certificate and on a document dated 20 January 2021 described as a final assessment. The petitioners said no provisional or final assessment had been passed so as to enable an appeal, that the sum was taken from an assessment of Sanjay Kumar Rai stayed in Writ-C No. 10366 of 2021, and that a certificate could not go to the Collector under the Uttar Pradesh Government Electrical Undertakings (Dues Recovery) Act, 1958 without a final assessment. On 24 November 2023 the Division Bench recorded that the licensee's instructions disclosed no final assessment, only official notings, stayed the citation, and left Purvanchal Vidyut Vitran Nigam Ltd. free to start fresh proceedings after a final assessment under the Electricity Supply Code, 2005. On 21 August 2025 counsel stated that the writ had become infructuous. The Court consigned the petition to records and disposed of it, passing no further order. It did not decide the 20 January 2021 document, Rai's liability, or the jurisdiction of the citation.

FACTUAL SUMMARY

M/s Smilan Agro Industries and two others challenged a recovery citation of 17 June 2023 issued by the Tehsildar, Burhanpur, Azamgarh, on a certificate of the Executive Engineer, Purvanchal Vidyut Vitran Nigam Ltd., Kaptanganj, and on his 20 January 2021 document, called a final assessment. They said no provisional assessment had been made, the document did not enable an appeal, and the sum came from an assessment of Sanjay Kumar Rai, who was neither a partner nor the consumer. That assessment was stayed on 26 March 2021 in Writ-C No. 10366 of 2021. Objections in the Engineer's letter of 15 January 2022 had not, they said, been considered, so no certificate could go to the Collector under the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958.

On 24 November 2023 the Court, noting no final assessment and only official notings, stayed the citation and left the licensee free to proceed after a final assessment under the Electricity Supply Code, 2005. On 21 August 2025 counsel said the writ had become infructuous, and was consigned to records and disposed of.

HOLDING-UNITS

HOLDING-UNIT · UP-2005:.(unspecified)

Interlocutory stay of a recovery citation, with liberty to proceed only after a Supply Code final assessment; merits not decided

QUESTION

Where the licensee's instructions show no final assessment, only official notings, and the consumer says the recovery citation rests on another person's stayed assessment, what interim order issues?

HOLDING

On 24 November 2023 the Court recorded the challenge to the Tehsildar's citation dated 17.6.2023, issued on the Executive Engineer's recovery certificate and on a document dated 20.1.2021 described as a final assessment. The instructions of respondent nos. 4 and 5 did not show that any final assessment had been passed, though official notings of the dues were on the record, and counsel contended those notings were not final assessment orders. Holding that the matter required consideration, the Court granted three weeks for a counter-affidavit and two weeks thereafter for a rejoinder, listed the writ on 4 January 2024, stayed the citation, and left Purvanchal Vidyut Vitran Nigam Ltd. at liberty to institute fresh proceedings in accordance with law after passing a final assessment order as stipulated in the Electricity Supply Code, 2005. Those questions were not decided. On 21 August 2025 the writ was disposed of as infructuous without any further order. ¶ order of 24.11.2023

QUALIFIER

Interlocutory only. The 21.8.2025 disposal did not continue the stay or turn the liberty into a final rule.

FLAG Unnumbered order-sheet. The Court named the Electricity Supply Code, 2005 and did not cite a clause; not keyed to Clause 6.8 or 8.1, because the order does not say whether the demand was unauthorised use or theft. Sittings of 19.9.2023 and 18.10.2023 (Siddhartha Varma and Manoj Bajaj, JJ.) only directed listing with Writ-C No. 10366 of 2021 and kept on record an order dated 19.1.2021 said to found the 20.1.2021 assessment. The 24.11.2023 Bench was Salil Kumar Rai and Surendra Singh-I, JJ. The text says the Executive Engineer's letter of 15.1.2022 expressed his ability to consider the objections because the connected writ was pending; the case recorded for the petitioners was that the objections had not been considered.

HOLDING-UNIT · OFFTOPIC::no-cause-of-action-survives-consigned-to-record

Writ consigned to records on counsel's statement that it had become infructuous

HOLDING

On 21 August 2025 counsel for the petitioners submitted that the writ had become infructuous and that no further order needed to be passed. Accepting that submission, the Division Bench consigned the petition to records and disposed of it. Counsel for the respondent was present. The Court did not record why the petition had become infructuous, did not decide the citation dated 17.6.2023 or the document dated 20.1.2021, and did not continue or vacate the stay of 24.11.2023 in terms. ¶ [order of 21.8.2025](#)

QUALIFIER

No merits. No liberty to recall or to move afresh was reserved.

FLAG Operative order, Neutral Citation No. 2025:AHC:144237-DB (Shekhar B. Saraf and Praveen Kumar Giri, JJ.). Unnumbered. Counsel is named Sri Vidhan Chandra Rai in this order and Bidhan Chandra Rai on the earlier cause-titles.

PRINCIPLE TAGS

long-pending-writ-consigned-to-record-no-cause-of-action-survives Counsel submitted that the writ had become infructuous and that no further order was required. The Division Bench consigned the petition to records and disposed of it. It did not state why the cause had ceased, and it reserved no liberty to recall or to move afresh. The recovery citation was not adjudicated. ¶ [order of 21.8.2025](#)

interim-stay-of-electricity-recovery-pending-final-assessment On 24 November 2023, recording that the matter required consideration and that the instructions showed no final assessment, only official notings, the Court stayed the Tehsildar's citation dated 17.6.2023 and left the licensee free to institute fresh proceedings after a final assessment under the Electricity Supply Code, 2005. The stay was interlocutory. The writ was later disposed of as infructuous without any further order on the citation. ¶ [order of 24.11.2023](#)

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THE DOCUMENT DATED 20.1.2021 WAS A PROVISIONAL ASSESSMENT OR A FINAL ASSESSMENT, AND WHETHER ANY FINAL ASSESSMENT ENABLING AN APPEAL HAD BEEN PASSED

The petitioners' case. The instructions showed official notings only. The Court said the matter required consideration, then disposed of the writ as infructuous. ¶ [order of 24.11.2023](#)

NOT DECIDED — WHETHER THE DUES IN THE 20.1.2021 DOCUMENT WERE THOSE OF SANJAY KUMAR RAI, SAID NOT TO BE A PARTNER OR A CONSUMER, AND THE EFFECT OF THE STAY DATED 26.3.2021 IN WRIT-C NO. 10366 OF 2021

Argued on 24.11.2023. Not decided. The connected writ is identified only by number, parties, and the stay date. ¶ [order of 24.11.2023](#)

NOT DECIDED — WHETHER THE PETITIONERS' OBJECTIONS HAD BEEN CONSIDERED, AND WHETHER OFFICIAL NOTINGS COULD BE TREATED AS A FINAL ASSESSMENT ORDER

The letter dated 15.1.2022 and the instructions were noticed. No finding was made. ¶ [order of 24.11.2023](#)

NOT DECIDED — WHETHER A RECOVERY CERTIFICATE COULD BE SENT TO THE COLLECTOR UNDER THE UTTAR PRADESH GOVERNMENT ELECTRICAL UNDERTAKINGS (DUES RECOVERY) ACT, 1958 WITHOUT CONSIDERING OBJECTIONS AND WITHOUT A FINAL ASSESSMENT, AND WHETHER THE CITATION DATED 17.6.2023 WAS WITHOUT JURISDICTION

Raised by the petitioners. The citation was stayed in the interim and was neither quashed nor upheld. The Court cited no section of the 1958 Act. ¶ [order of 24.11.2023](#)

NOT DECIDED — WHY THE WRIT HAD BECOME INFRUCTUOUS, AND WHETHER THE STAY OF 24.11.2023 OR THE LIBERTY TO START FRESH ASSESSMENT PROCEEDINGS SURVIVED THE DISPOSAL

The 21.8.2025 order records only counsel's statement and consigns the petition to records. ¶ [order of 21.8.2025](#)

SCJ-3304 · M/s Smilan Agro Industries & 2 Others v. State of U.P. & 4 Others · 2025:AHC:144237-DB · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.